

ECONOMIC GLOBALIZATION

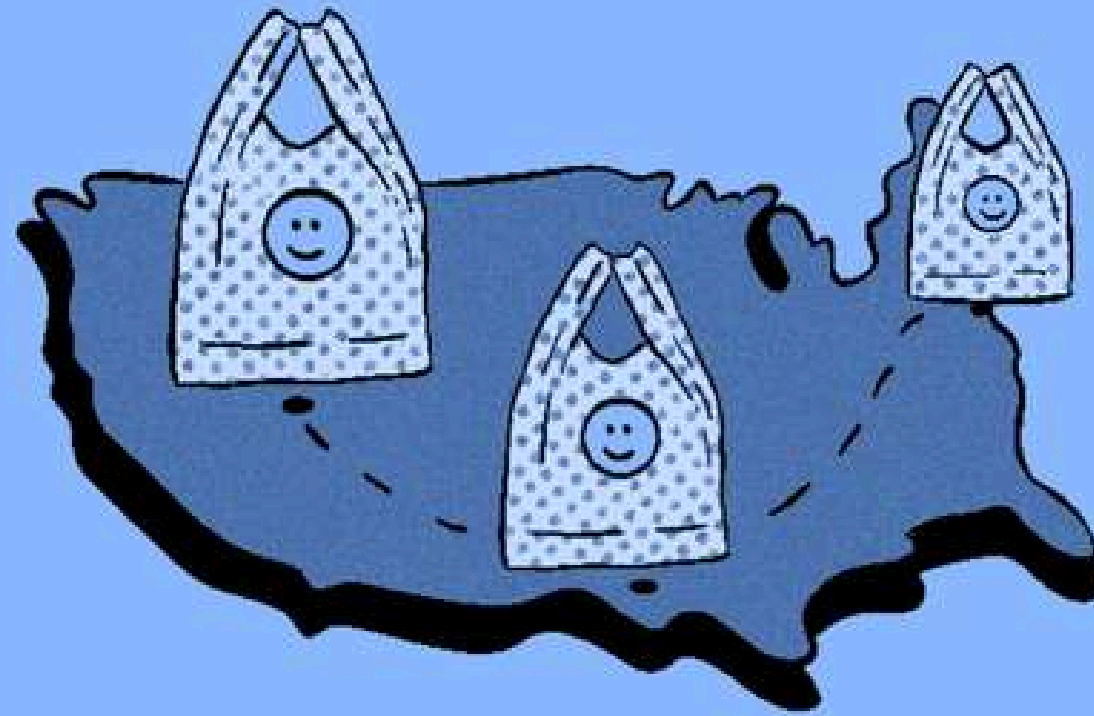
CONTEMPORARY WORLD

ERNESTO STEPHEN C. GORDOVEZ | SSD, DLSUD



**What comes to your mind
when you think of the word
“economy”?**





GDP

['jē 'dē 'pē]

The total monetary or market value of all the finished goods and services produced within a country's borders in a specific time period.

simply: the measure of how much an economy produces

Data from the PSA, as of Aug. 2026

Philippine GDP

(1st sem., 2026)

₱14.41 trillion

or

\$233.68 billion

Data from the PSA, as of Aug. 2026

*current prices

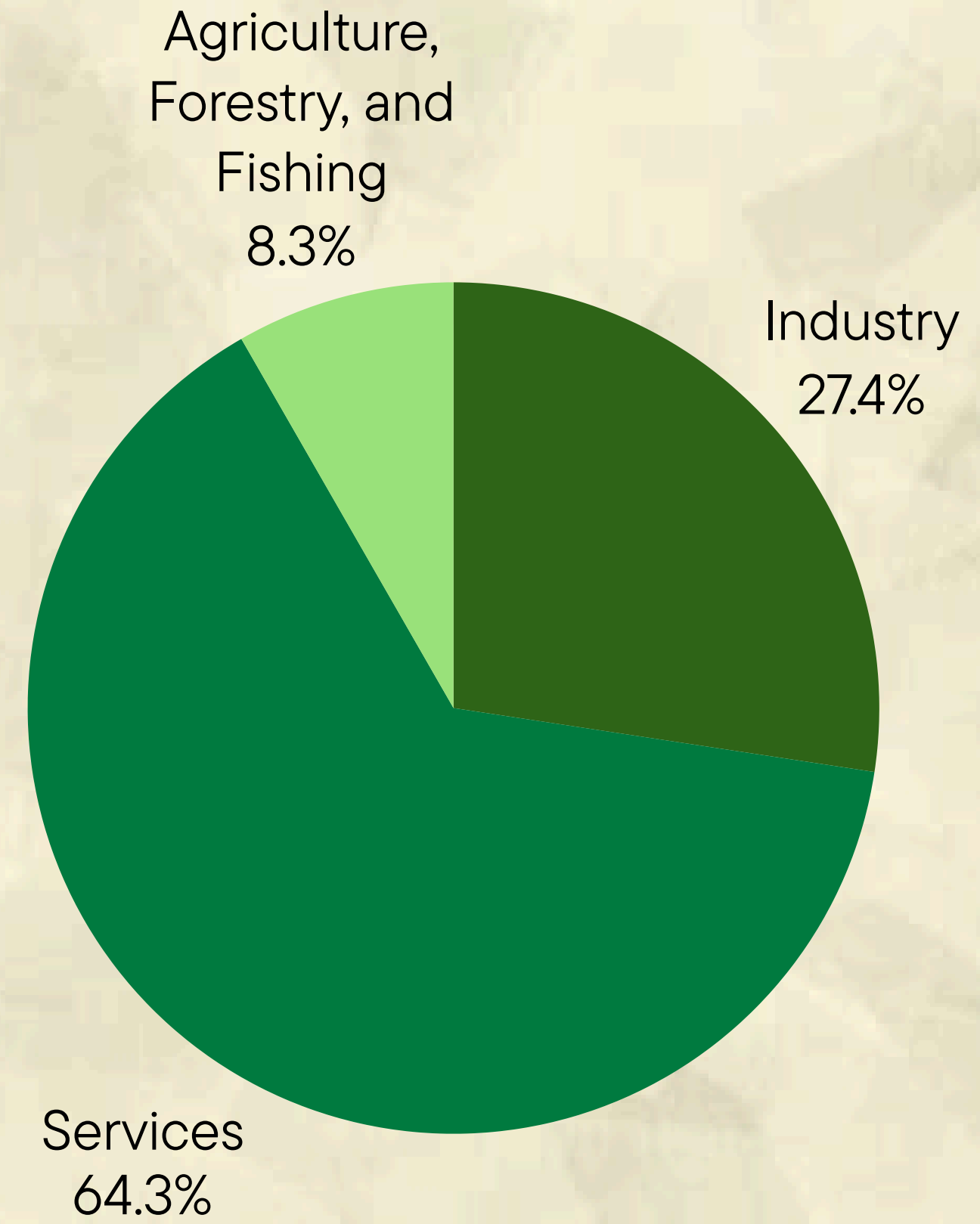
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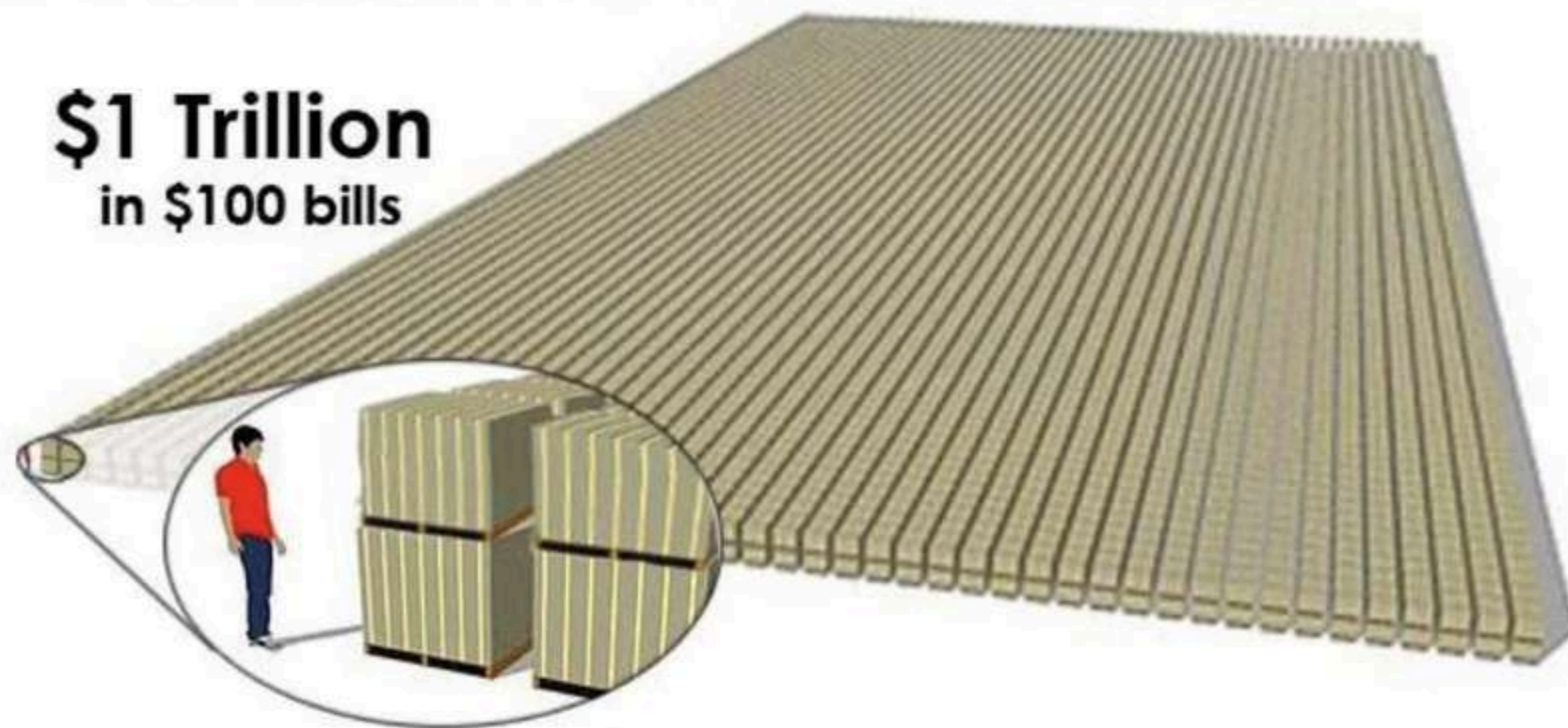
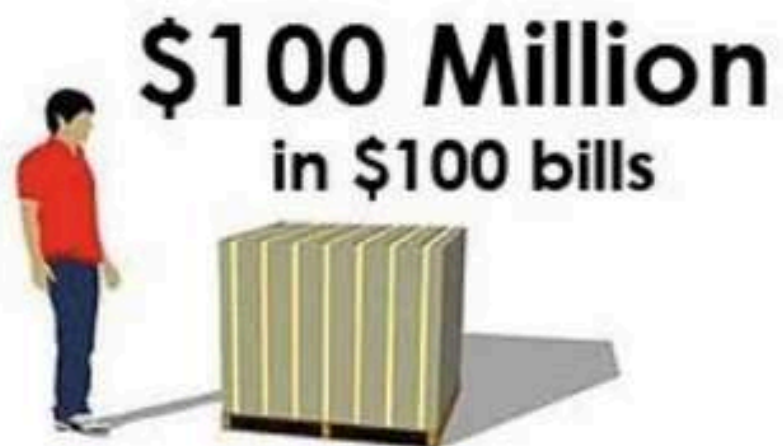


*current prices

Philippine Services

(1st sem., 2026)

₱9.2 trillion





Sonny Africa

June 15 · 🌐



Enrique Razon Jr, PH's first trillionaire, is now worth Php1.15 trillion.

Average Filipino minimum-wage worker earning Php510 a day and working five days a week needs 8.7 million years to accumulate this much wealth, saving every peso earned and not spending anything.

Basically, she would've had to start work in the Miocene epoch when saber-toothed predators roamed vast grasslands, megalodon sharks swam the oceans, and the first Homo sapiens was still 8.4 million years away.



Forbes

F PROFILE

Enrique Razon Jr.

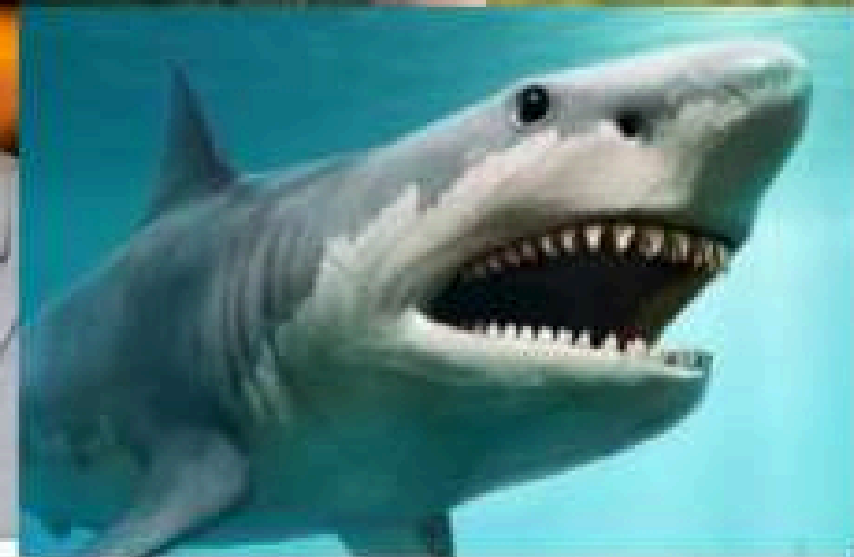
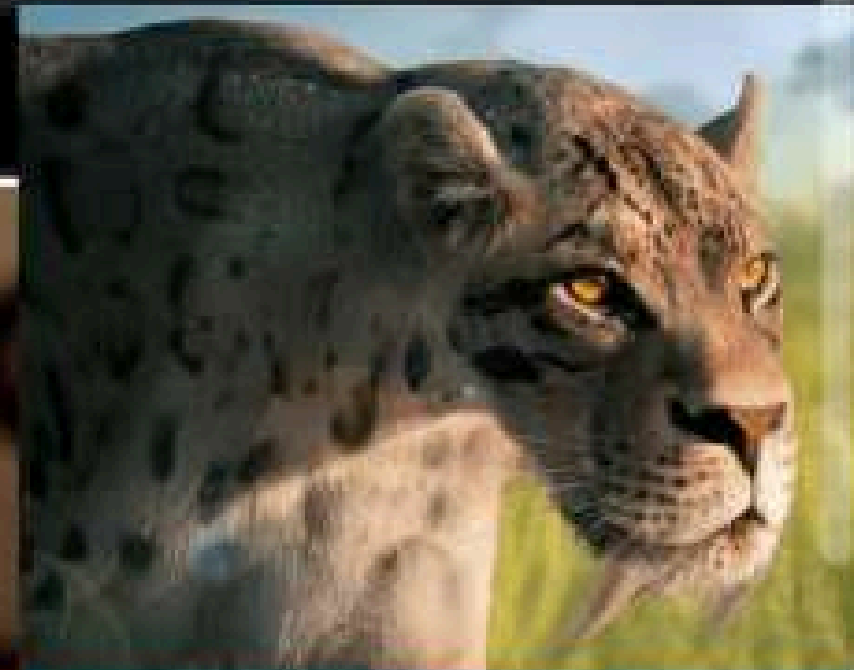
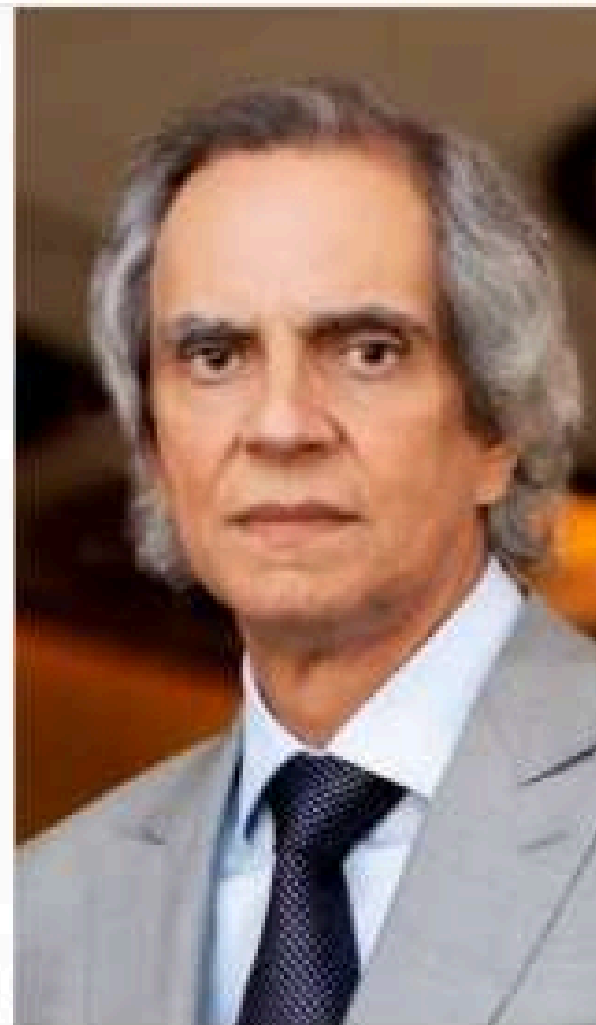
\$18.8B

▲ \$843M (4.68%)

Real Time
Net Worth
as of
6/15/26
#147 in the
world today



PHOTO BY GIO PANLILIO FOR FORBES ASIA



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Telecom, computer & information services:

₱341.5 billion (16.2% of service exports)

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Business services:

₱1.066 trillion (50.5% of all service exports)

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₱2.1 trillion (22%~)

Telecom, computer & information services:

₱341.5 billion (16.2% of service exports)

Business services:

₱1.066 trillion (50.5% of all service exports)

Combined:

₱1.342 trillion (66.7% of all service exports)

Data from the BSP, as of Aug. 2026

OFW Remittances

(1st sem., 2026)

\$19.12 billion

or

₱1.17 trillion



What happens in the Philippine economy increasingly depends on people, businesses, money, technology, and production outside the Philippines — and vice versa.

Economic globalization is the process by which **the economies of different countries** become increasingly **interconnected** and **interdependent** with one another.

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National economies no longer operate on their own; they increasingly work as **parts of one interconnected world economy.**

Economic Globalization

International Monetary Fund:

“Economic globalization is a **historical process**, the result of human innovation and technological progress.

It refers to the **increasing integration of economies** around the world, particularly through **the movement of goods, services, and capital across borders.**”





**Toyota Special Economic Zone
Sta. Rosa, Laguna**





Free Trade Agreement (FTA)

['frē 'trād ə-'grē-mənt]

A pact between two or more nations to reduce barriers to imports and exports among them.



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Assumption:

Societies that are more globalized are further along the path of development, while societies that remain less integrated are **comparatively “behind.”**

Calling globalization the result of “human innovation and technological progress” makes a deeply political historical process sound **almost natural and inevitable.**

Economic Globalization

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“It refers to the **increasing integration of economies** around the world, particularly through **the movement of goods, services, and capital across borders.**”

If the Philippines' economic connections with the rest of the world disappeared, what would change aside from trade?

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If the Philippines' economic connections with the rest of the world disappeared, what would change aside from trade?

What parts of your future life (whether personal, professional, academic, etc.) would depend on economic relationships outside the Philippines?

According to Benczes (2014), economic globalization involves the following interrelated aspects:

- (1) the globalization of trade of goods and services;
- (2) the globalization of financial and capital markets;
- (3) the globalization of technology and communication; and
- (4) the globalization of production.

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Is globalization a new phenomenon?

Adam Smith considers two historical events as mankind's greatest achievements: “the **discovery of America** by Christopher Columbus in 1492 and the **discovery of the direct sea route to India** by Vasco de Gama in 1498.”

(Benczes 20124, 135)

Economic Globalization

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1820–1870 (Madison in Benczes 2014, 135)

~4.2% annual growth in world trade

Trade begins expanding dramatically. At roughly 4.2% growth per year, trade would nearly double every 17 years.

1913 (Held in Benzces 2014, 135)

International trade = 16–17% of world income

National economies are becoming substantially more connected.

Thomas Friedman

Globalization 1.0	—	1492–1800
Globalization 2.0	—	1800–2000
Globalization 3.0	—	2000–onwards

Thomas Friedman

Flattening the world means that “[the] global competitive playing field was **being leveled.**”

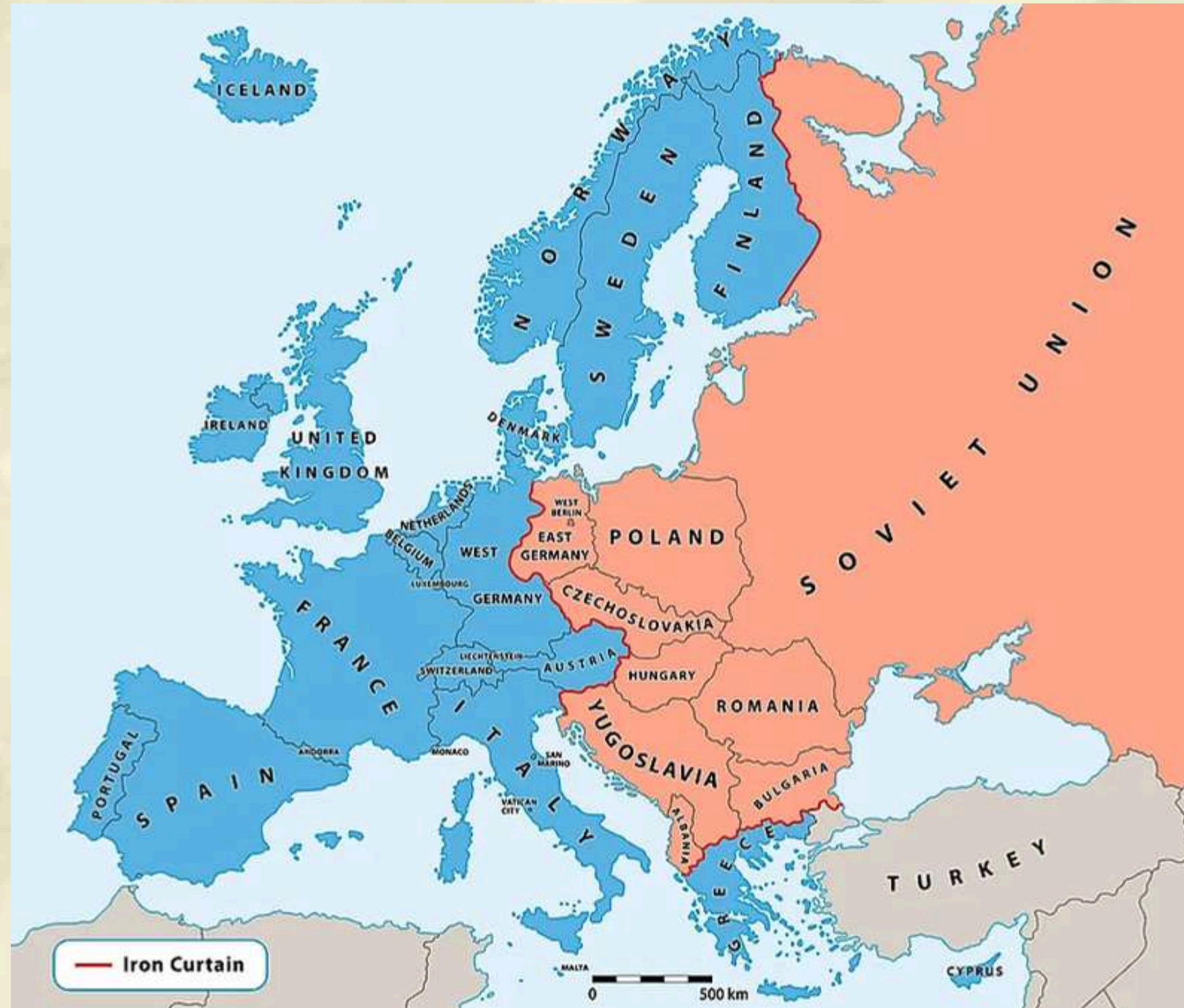
Geography remained the same, but **distance and borders were reduced in importance.**

Technology and global integration made it much easier for people and firms in different parts of the world to participate in the same economic activities, on an equal level.

Thomas Friedman

- (1) Fall of Berlin Wall
- (2) Introduction of Netscape to the public
- (3) Invention of Work Flow Software
- (4) Outsourcing
- (5) Offshoring
- (6) Open-sourcing
- (7) Insourcing
- (8) Supply-chaining
- (9) Informing
- (10) Steroids

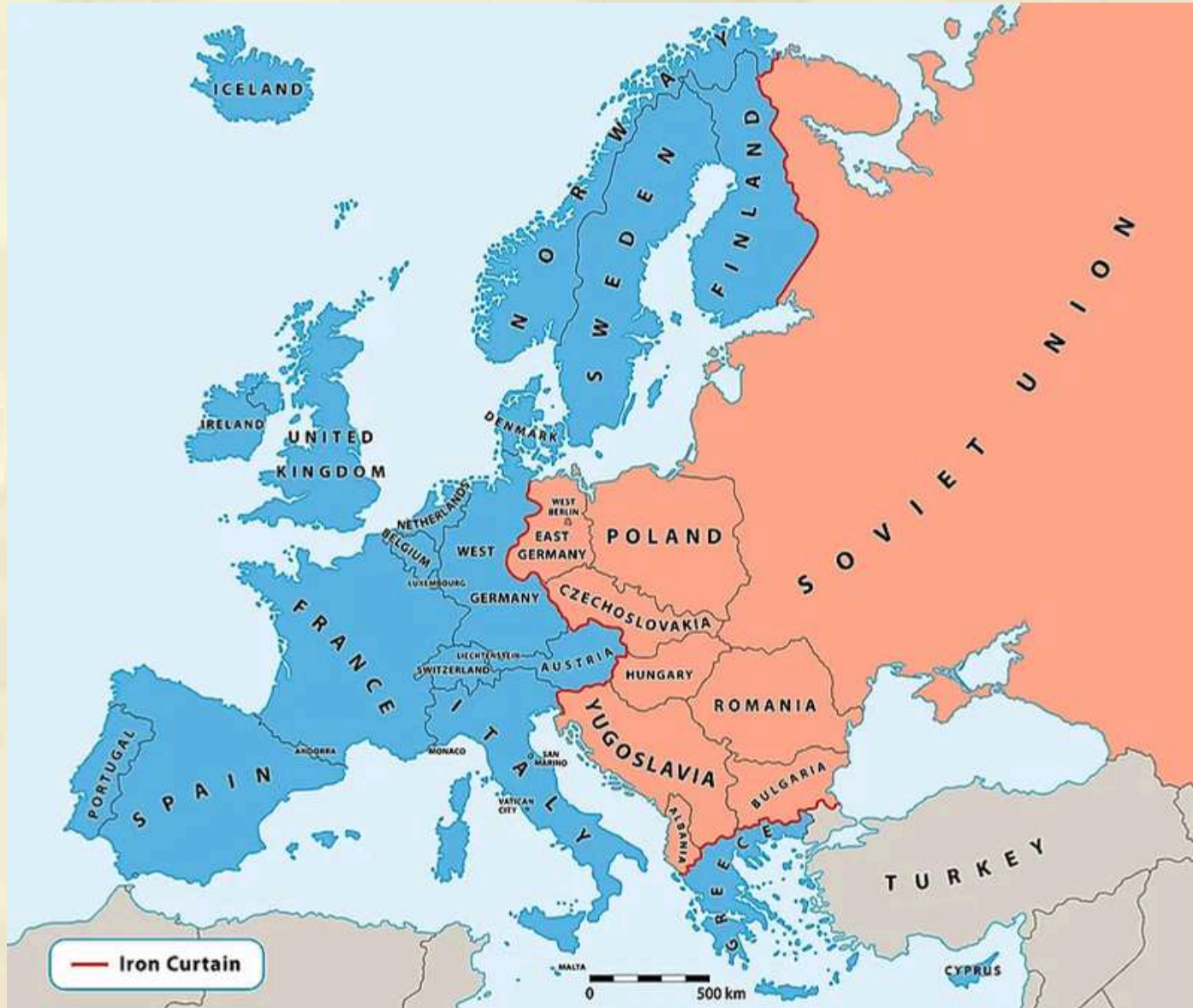
Fall of the Berlin Wall (1989)



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The Fall of the Berlin Wall “allowed us to think about the world differently—to see it as **more of a seamless whole**. Because the Berlin Wall was not only blocking our way, it was blocking our sight — **our ability to think about the world as a single market, a single ecosystem, and a single community**. Before 1989, you could have an Eastern policy or a Western policy, but **it was hard to think about having a "global" policy.**”

(Friedman 2007)

The “Netscape” (1995)



Workflow Software

"enabled more people in more places to design, display, manage, and collaborate on business data previously handled manually. As a result, work started to flow within and between companies and continents faster than ever." (Friedman 2007:79)

Workflow options for G-Suite(Google Apps)



Workflow Software



Outsourcing

Offshoring

Open-sourcing

Insourcing

Supply Chaining

Informing

Steroids

Outsourcing

"When my software applications could connect seamlessly with all of your applications, it meant that all kinds of work -- from accounting to software-writing -- could be digitized, disaggregated and shifted to any place in the world where it could be done better and cheaper." (Friedman 2005)

Offshoring

It is the system of putting up factories outside one's country, the operation of which may be directed from the country of origin.

Insourcing

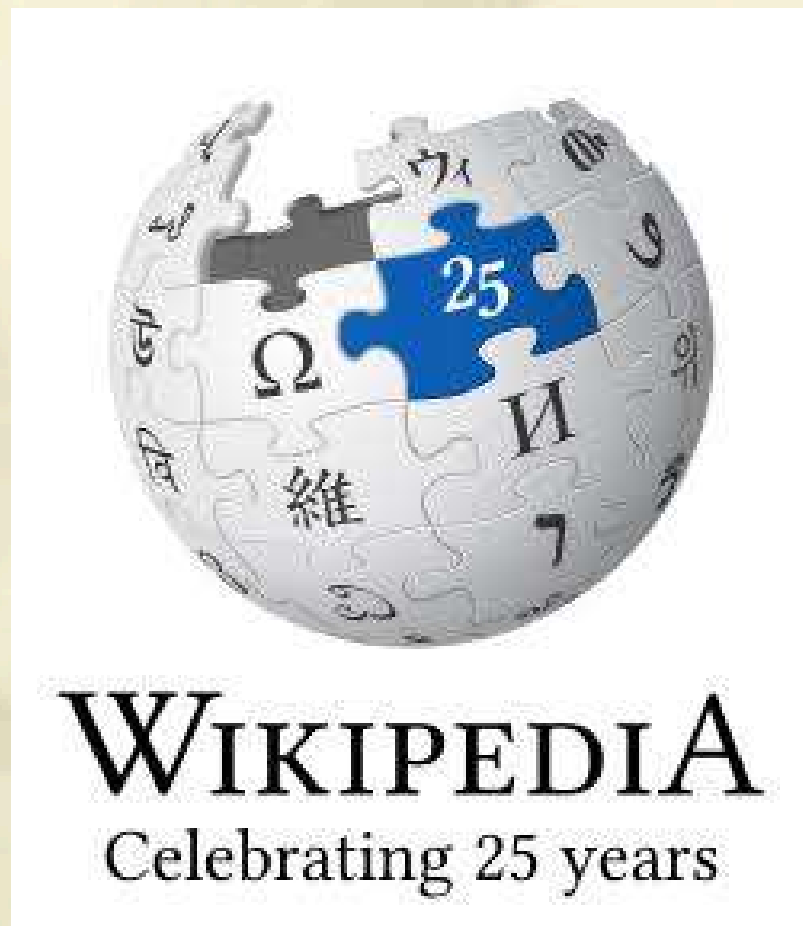
The system in which the company hires an independent contractor to perform its various operations.

Open-sourcing

The system in which engineers, scientists, and other professionals collaborate online in order to produce something usually for free.

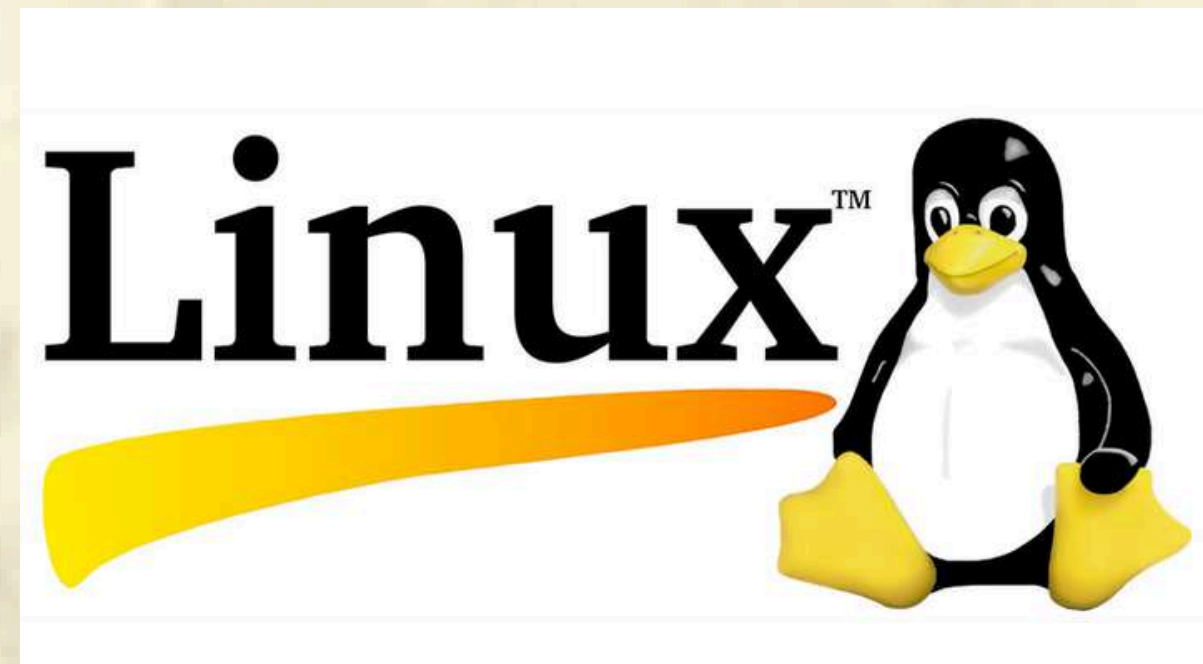
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Supply-chaining

"This is Wal-Mart's specialty. I create a global supply chain down to the last atom of efficiency so that if I sell an item in Arkansas, another is immediately made in China. (If Wal-Mart were a country, it would be China's eighth-largest trading partner.)"
(Friedman 2005)

Informing

"[T]his is Google, Yahoo and MSN Search, which now allow anyone to collaborate with, and mine, unlimited data all by themselves." (Friedman 2005)

Steroids

"[T]hese are wireless access and voice over Internet protocol (VoIP). What the steroids do is turbocharge all these new forms of collaboration, so you can now do any one of them, from anywhere, with any device." Friedman 2005)

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radar business J



OPINION

Our **flood control** is so bad, Gen Z Filipinos are calling **NYC Mayor Mamdani** to fix it

Photo from NYC Government / website, inset: Makoy Cabangon / Facebook

f radar.ph i @radar.ph x @radarph_media v @radarph

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reduced distance and greater connection ≠ equal playing field



Brain Drain

['brān 'drān]

A substantial emigration
or migration of individuals.



Free Trade Agreement (FTA)

[ˈfrē ˈtrād ə-ˈgrē-mənt]

A pact between two or more nations to reduce barriers to imports and exports among them.

Claro M. Recto

The agricultural nation is always at the mercy of the manufacturing nation.

Raw materials are exported cheaply,
but finished products are imported at
higher prices.







The world is not equally “flat.”

The world remains highly unequal — e.g. access to technology, infrastructure, capital, education, and political power — remains highly unequal, so some countries, firms, and workers benefit far more than others.

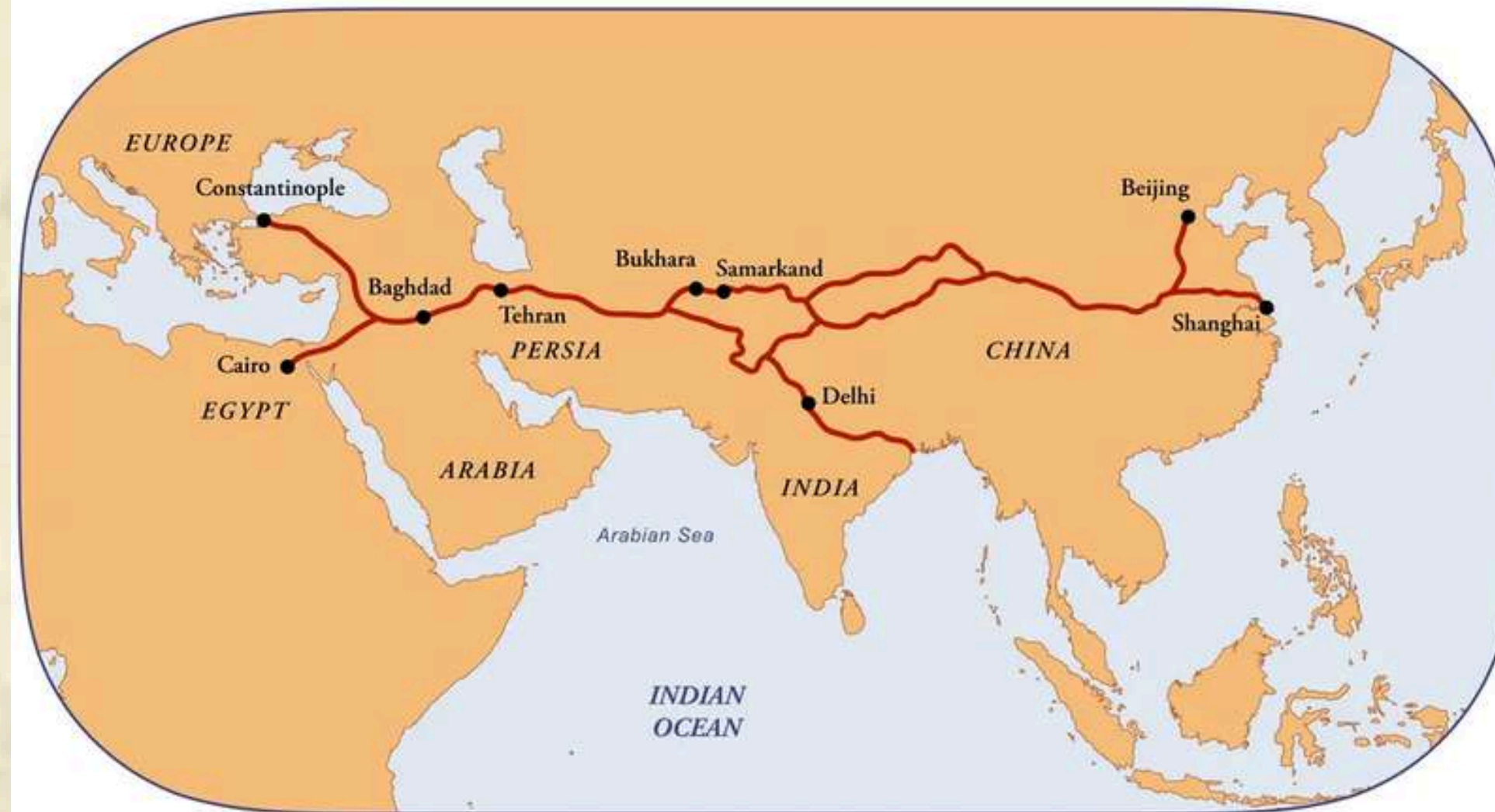
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The Silk Road



Frank and Gills (in Benczes 2014, 135)

“All the histories of those first years, in short, abound in long accounts about the industry and agriculture of the natives: mines, gold-washings, looms, farms, barter, naval construction, raising of poultry and stock, weaving of silk and cotton, distilleries, manufactures of arms, pearl fisheries, the civet industry, the horn and hide industry, etc., are things encountered at every step, and, considering the time and the conditions in the islands, prove that **there was life, there was activity, there was movement.**”

JOSE RIZAL

In “Indolence of the Filipino”

“Before the arrival of the Europeans, the Malayan Filipinos carried on an active trade, not only among themselves but also with all the neighboring countries.”

JOSE RIZAL

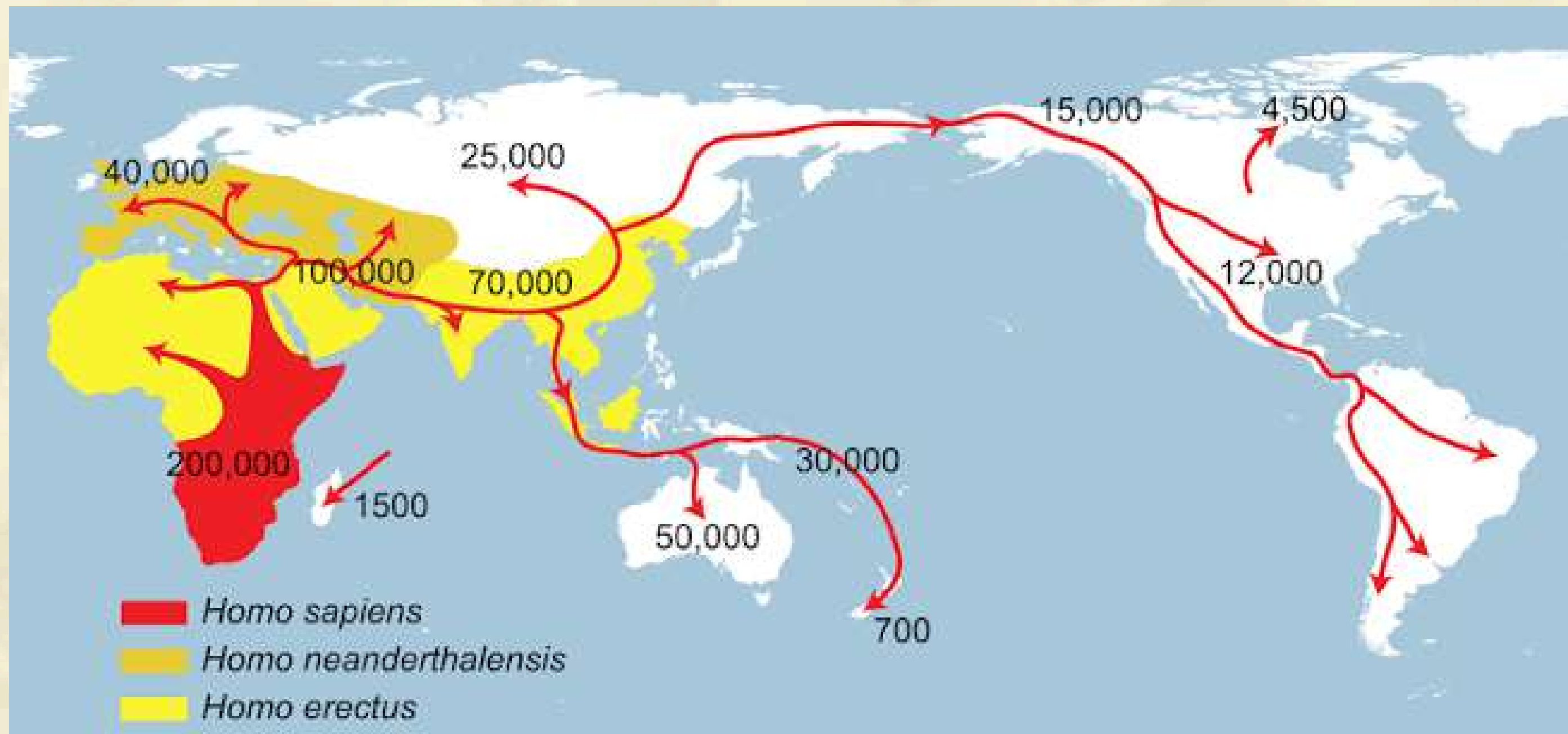
In “Indolence of the Filipino”

“In the same year, 1521, the survivors of Magellan's expedition met the son of the Rajah of Luzon, who, as **captain-general of the Sultan of Borneo** and admiral of his fleet, had conquered for him the great city of Lave (Sarawak?). Might this captain, who was greatly feared by all his foes, have been the Rajah Matanda whom the Spaniards afterwards encountered in Tondo in 1570?

In 1539 the warriors of Luzon took part in **the formidable contests of Sumatra**, and under the orders of Angi Siry Timor, Rajah of Batta, conquered and **overthrew the terrible Alzadin, Sultan of Atchin**, renowned in the historical annals of the Far East.”

JOSE RIZAL

In “Indolence of the Filipino”



On one hand, Gills and Thompson (in Benczes 2014, 135), states that globalization started from the time the *Homo sapiens* began to populate the world, impliedly claiming that migration is one of the drivers of globalization.

Economic Globalization

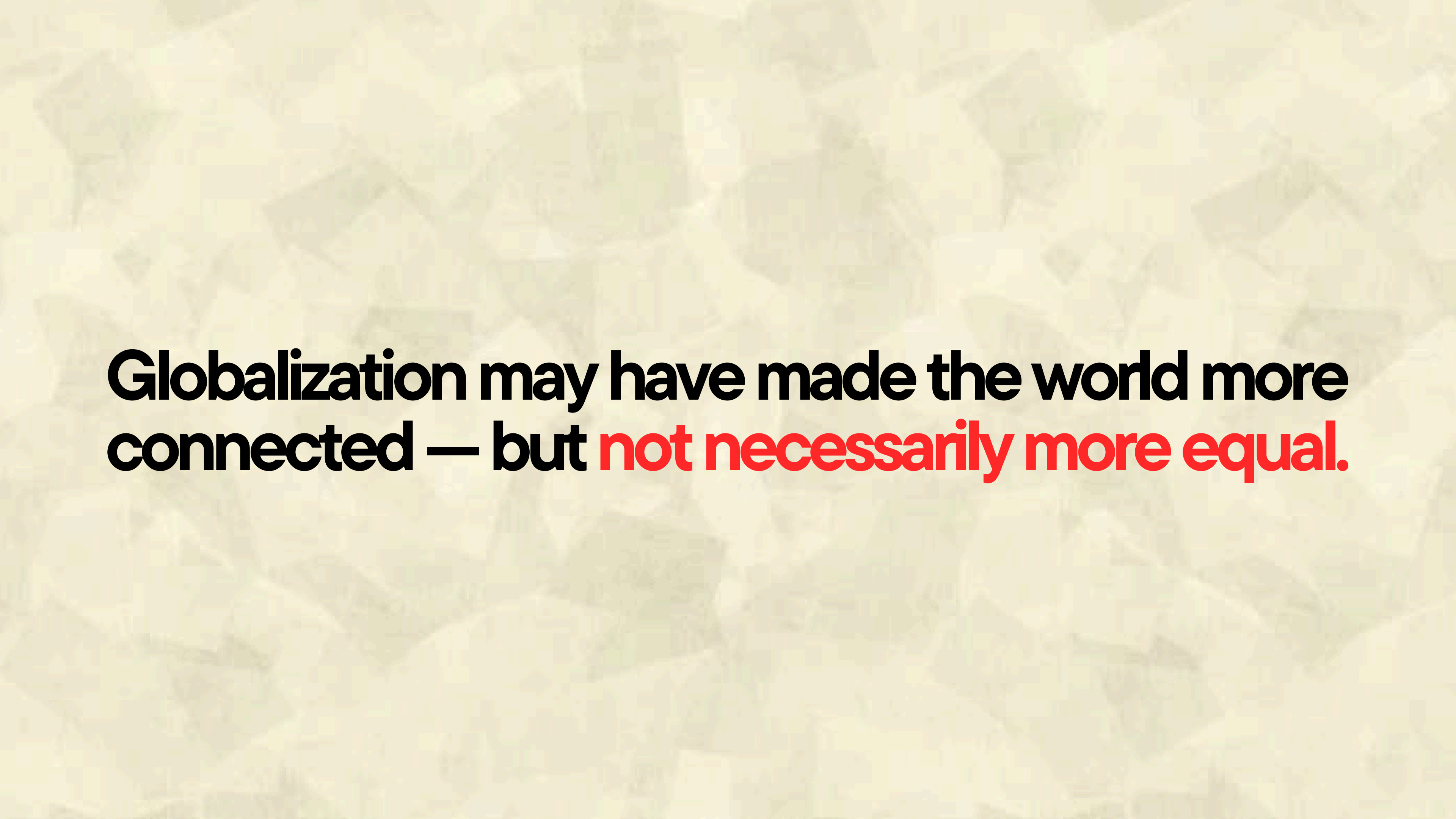
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A faint, stylized world map in the background, showing the outlines of continents in a light beige color against a slightly darker beige background.

Globalization may have made the world more connected — but not necessarily more equal.

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